TOAST INC TOST

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by Beantown Stonks

			2026	2027
Price:	35.00	EPS	1.03	1.33
Shares Out. (in M):	578	P/E	34	26
Market Cap (in $M):	20,201	P/FCF	29	21
Net Debt (in $M):	-1,770	EBIT	0	0
TEV (in $M):	18,448	TEV/EBIT	0	0

Description

Sifting through the recent underperformance in software and payments I identified Toast as an attractive long opportunity. The company has a strong and highly predictable runway for growth, margin expansion, and cash generation ahead of it, leaving shares undervalued at current levels. At $35/share, Toast screens rich (~34x consensus FY2026 EPS of $1.03), but I see a credible path to tripling EPS over the next 5 years, with shares almost doubling at a market multiple of 20x. While Toast is a well-known company with a leadership position and durable growth trajectory, I believe the margin and cash generation story is underappreciated and over the next few years Toast shares will increasingly reflect this fundamental reality, advancing at an above-market rate.

Background on Toast

I assume many investors are familiar with Toast: the hardware, software, and payments company that has rapidly grown into a leadership position in the restaurant industry. Toast operates three segments: Subscription Services, Hardware & Professional Services, and Financial Technology Solutions.

Toast's subscription services consist of its software platform that manages all aspects of a restaurant's operations such as ordering, back-of-house, inventory management, scheduling/payroll, and online/delivery. Toast receives monthly subscription fees for its platform and tends to be sticky with customers who move to the platform despite the restaurant industry's naturally high churn-rate. The software business is complemented by hardware that is custom-built for the restaurant industry supporting seamless operations of systems. Software subscriptions are ~40% of gross profit, while hardware is a loss-leading category accounting for negative 15% contribution to gross margin.

The financial technology segment is a payments business that processes transactions for customers in a similar manner to other merchant acquirers. Toast takes ~2.5% of customer GPV as its fee, and after paying interchange fees is left with a net take rate of ~0.50% of GPV as its fintech gross profit. The payments segment is 70% of gross profit after netting out interchange fees (which skews fintech revenue higher).

In FY25, Toast posted $6bn of revenue (+24% y/y) and $1.6bn of gross profit (+34% y/y). Gross profit growth has been consistently strong, allowing Toast's overall profitability profile to dramatically improve in recent years. FY25 operating income was $292mm and GAAP net income was $342mm. The business has minimal capital expenditures and only modest working capital needs related to its hardware sales. FCF in FY25 was $600mm (or about $360mm if you subtract stock-based compensation) indicating strong FCF conversion and high earnings quality. The company is founder-led, with high quality management.

Key Thesis Drivers

The key drivers of my investment thesis are: (1) Toast has a predictable runway for high-teens/low-20%s revenue/gross profit growth over the next 3-5 years, (2) Toast will leverage its operating expenses to grow earnings and FCF at an even faster rate, and (3) Toast can maintain a premium valuation as earnings compound to produce an attractive shareholder return.

1. **Revenue growth**: Toast is growing rapidly, and under a reasonable set of assumptions can continue to do so for several years to come. The drivers of growth are: (1) location count, (2) subscription revenue per location (referred to herein as "SaaS ARPU"), (3) GPV per location, and (4) payments take rate.
    a. Location count drives both subscription and payments revenue making it an important metric. Today, Toast serves 180k locations. It primarily serves small-medium sized restaurants in the US (~160/180k locations) but has also recently begun to expand its TAM to franchise restaurants, international markets, and non-restaurant customers such as hotels and food/beverage retailers. Among its core market, Toast estimates it holds a little over 20% market share of the ~750k location TAM. However, they are winning ~50% of new restaurant openings within their TAM as well as converting customers from other systems, so over the long term they can reasonably achieve 350k+ locations in their core market before hitting saturation (legacy competitors have recently been at ~50% market share). The TAM is somewhat fuzzier in expansion markets, but Toast's strategy is yielding promising early results. If they gain momentum in these markets they can easily add another of 50-100k new locations bringing total locations to 400k+ by 2035, or a 11% baseline CAGR on location count, closer to mid-teens % in the near-term.
    b. SaaS ARPU: Average subscription revenue per location is about $6.6k or ~$550/mo. Toast has continuously added services to its software lineup which has expanded ARPU as new modules are adopted by customers. SaaS ARPU growth is currently running at ~5% y/y. This seems durable given the innovative features that Toast is rolling out to customers including an AI suite. Certain AI products such as automated order management and scheduling features are bundled within the product and take advantage of Toast's rich dataset across the restaurant industry. Toast's newest AI feature, Toast IQ Grow, is an automated marketing tool that is being sold for an incremental $500/mo. While this is a steep cost relative to the existing ARPU of $550/mo, early indications show customers using the tool are boosting sales by ~8%, or ~$8k/mo indicating a strong ROI and a promising sign for adoption which has the potential to double Toast's ARPU. Taken together, location count growth of 11% plus ARPU growth of 5% gets you to a high-teens growth rate on the Subscription segment.
    c. Payments: On the payments side, location count times the average GPV per restaurant (~$1.3mm) gets you to a total GPV figure. GPV is going to be somewhat cyclical with consumer spending on dining out, but absent another COVID-like event or severe recession I expect GPV per location to be fairly stable and grow generally with the economy and inflation. On the take rate side of things, Fintech revenue as a % of GPV has been ~2.6% recently. About 0.10% of that is revenue from Toast Capital (financing services offering) leaving ~2.5% gross payments take rate. After netting out ~2% of interchange fees, Toast's net take rate is ~0.50%. There are arguments that Toast has scope to increase this take rate given where competitors are pricing and its suite of product offerings, but this is a fiercely competitive space so I model the net take rate to be flat. This yields total fintech revenue and gross profit growth in line with location count growth.

    On a combined basis, aggregate Toast revenue growth is expected to be ~12% through 2035, and 15-20% in the near-term. While Fintech gross profit margins implied by the net take rate should be ~flat, subscription gross margins should get a lift from operating leverage. This results in a total gross profit growth rate of ~16% through 2035, and closer to mid-20%s in the near-term. While my revenue and gross profit estimates reflect exceptionally strong performance, they are essentially in-line with consensus in the near term. What may be underappreciated about the growth story is the durability of growth, which is hard to assess via near-term street estimates.

2. **Cash generation**: Below the gross profit line there is underappreciated operating leverage. Toast's largest opex line item is sales and marketing

expense, which includes costs that must be scaled with growth. The company employs a large salesforce to build relationships with restaurants and moving into new markets implies more sales and marketing spend. As Toast's core markets reach saturation and they focus more on expansion markets, customer acquisition cost is likely to rise. Yet as a percentage of revenue the sales and marketing line should be fairly stable. I model CAC [defined as S&M expense / gross new locations] using the historical ~$12k/location, but blend in an increasing proportion of expansion market adds which have a CAC closer to $15k/location. In addition to the mix shift, I expect sales & marketing costs would be pushed higher by inflation. At FY30 I forecast CAC at ~$17.7k, which on 60k gross new locations yields a sales & marketing expense of ~$1.1bn, $300mm below the consensus figure driving my above-consensus EBITDA estimate. Toast's other operating cost items are R&D and G&A. R&D doesn't need much more funding and should be able to stay relatively flat over time, while G&A should increase, but at a far lower rate than gross profit implying significant operating leverage in the business to capitalize on the attractive growth profile.

In FY26, Toast should be close to its 40% EBITDA margin target (they calculate as EBITDA/Gross profit and add back stock-based compensation), and there is a reasonable pathway to 60%+ EBITDA margins in my view over the long term. In 2025 Toast posted incremental EBITDA margins of 57% indicating the strong underlying margin expansion potential as fixed costs continue to be leveraged. Management has previously noted that its margin trajectory is firmly in its control and it is currently prioritizing reinvesting in growth above margin and cash flow optimization. This masks the true cash generation potential of the business. My estimates put EBITDA margins expanding from 35% in FY25 to 55% in FY30. As mentioned, there are limited capital needs so the majority of this EBITDA flows through to FCF. My forecasts place me ~15% ahead of consensus on EBITDA over the next 5 years.

3. **Valuation**: Toast is not an optically cheap stock at a 34x fwd P/E, but the cash generation and growth trajectory of the business is such that you can underwrite a strong return from current levels even as the multiple normalizes toward a broad-market level. I expect TOST to produce $3 of EPS in FY30 assuming no share repurchases except to offset SBC dilution. What is the right multiple for a business that should be still growing revenue at >10% and earnings at >20% 5 years from now? Taking the 50 companies in the Russell 1000 with such a growth profile yields an average P/E of 34x, supporting TOST's abilioty to maintain the current level. However, one should take more of a through-cycle view. Given TOST's substantial cash generation, you can back into a floor multiple based on current interest rates. At 4% money market yields, Toast should use excess cash flow to buy back stock if their earnings yield falls below 4% or a 25x forward multiple. To date, the management team has acted rationally, hoarding cash on the balance sheet and only ramping buybacks when the stock fell below $25 in Q1. At 25x my FY2030 EPS estimate, a share price of $75 seems reasonable within 3-5 years. A 10 year DCF model, which more properly accounts for the durability of growth and cash flow, implies current fair value per share at $57, ~60% above the current share price. On an EV/EBITDA basis, which is the preferred sell side methodology, you can also see ~$70 within 3-5 years based on the current median vertical software multiple of 14x. Note the cash generation in this scenario if shares are not retired is ~$6bn over the forecast period.

Valuation Bridge based on Internal Estimates					
	FY26	FY27	FY28	FY29	FY30
Adj. EBITDA	935	1,246	1,592	1,977	2,370
EV/ EBITDA	20.3x				14.0x
Enterprise Value	18,937				33,179
(-) Net Debt	-1,713				-7,908
Equity Value	20,650				41,088
Shrs. Out.	590				590
Share Price	**35**				**70**
EPS - Diluted	1.09	1.56	2.10	2.47	3.02
P/E multiple	32.1x	25.0x	25.0x	25.0x	25.0x
Share Price	**35**	**39**	**53**	**62**	**76**

Risks & Debates

1. AI Disintermediation: At $25/share earlier this year, the stock was pricing in significant risk from AI-led disruption. The stock likely traded down in sympathy with other software names that face a bigger risk and has since recovered +40% off the lows alongside a broader sector rebound, but this topic is at least worth addressing. In an AI-driven economy there is speculation that customers could write their own software at a low cost and either pressure pricing or replace Toast's systems entirely. Restaurants are likely on the lower end of the risk spectrum as they tend not to hire technical staff to pursue such projects and the margin profile of a restaurant is not supportive of large AI token budgets to execute such a project. Secondarily, Toast's hardware offering creates a lock-in effect with customers who would have to find a replacement for hardware in addition to the back-end software. Lastly, AI winners are created via rich proprietary datasets which Toast has on its 180k restaurant base. With such valuable data they are best positioned to develop products that boost value for customers.
2. Payments Competition & Regulation: Looking across the competitive landscape, restaurant operators have a number of options including legacy players like NCR/Oracle/GPN and similar offerings from fintechs Square and Clover. Toast's MDR/net take rate are competitive with peer set. Although the 0.50% net take rate is above some of the legacy players and Clover by some measures, it is slightly lower than Square. When Toast's product offering is viewed wholistically, the price represents good value to customers. Additionally, when reading customer reviews there is evidence of significant lock-in effect of the software and hardware related switching costs that convinces customers to remain with Toast. DoorDash is the newest competitor seeking to enter the market. Their progress will be a key indicator to watch, but Toast's offering continues to be more comprehensive.

   There is also some regulatory risk that serves as an overhang to the payments space. One bill currently in congress called the Credit Card Competition Act would allow large-scale merchants to more efficiently route payments. This measure has garnered support but would be relatively low-impact for Toast's largely SMB customers. A second regulatory headwind that has been floating around is the extension of the "Durbin Amendment" that capped debit card interchange rates at a rate ~80% lower than prior. This is a high impact regulation that would force repricing of Toast's ~2.50% MDR and make it harder to justify a 0.50% net take rate – however, this doesn't currently have a high probability of happening and would impact the entire industry.

3. Expansion Markets & Unit Economics: Bears would point out that some of Toast's expansion markets, primarily the enterprise market, comes with inferior unit economics. As this segment grows as a percentage of total locations, the overall growth profile of SaaS ARPU and GPV could be pressured. More specifically, enterprise customers are less likely to add modules beyond the core POS/Software such as payroll/scheduling/inventory because they likely already have low-cost solutions for these needs at an enterprise level. They also are far less likely to use Toast's payments offering at its 2.5% MDR as their scale justifies a lower take rate, something closer to "interchange-plus" that allows for more optimization on the customer's end. I am accepting of these arguments, but they are not yet showing up in the numbers. ARPU continues to grow steadily and take rates are stable at an aggregate level. Toast could be hiding some of the unit economics deterioration in expansion markets by raising prices in its core, but that price raise in the core could just as well be justified by expanded product offerings that maintain customer satisfaction.

In conclusion, Toast is well positioned to continue its rapid growth on the back of its strong product offering and TAM expansion. The business generates significant cash to be used for both growth and potentially shareholder returns if needed. While I view my valuation metrics above as appropriately conservative, it is also instructive to look at a risk/reward if things don't go according to my expectations. In the bear case, growth stalls from some combination of economic weakness, flat ARPU growth, or increased competition. TOST still generates healthy cash in this scenario and has capacity to support the share price down to ~$20/share at a 20x fwd. P/E on $1 of earnings. Comparing my upside case of $70/share (+100%) vs. $20 downside (-43%) implies an asymmetric 2:1 opportunity to invest in a long-term compounding story.

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Catalyst

- Earnings beats / upward revisions on operating leverage
- Expansion to new markets
- Renewed share buyback authorization

Messages

No messages